



Article

“AI In Business Decision Making: Transforming Organisational Intelligence In The Digital Era”

Article History

Name Of Author:

Dr. ANJANA RADHAKRISHNAN¹ ;
SHRIVARDHAN P²

Affiliation:

¹Associate Professor, Department of
Commerce and Management, Seshadripuram
First Grade College, Yelahanka, Bengaluru
– 64

² Student, B.Com (BDA), Department of
Commerce and Management, Seshadripuram
First Grade College, Yelahanka, Bengaluru
– 64

Corresponding Author:

SHRIVARDHAN P²

Received:03/07/2026

Revised: 09/07/2026

Accepted: 15/07/2026

Published: 17/07/2026

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ABSTRACT

Generation Z is rapidly emerging as a dominant segment of the global workforce, bringing distinct expectations shaped by digital transformation, globalization, and post-pandemic workplace realities. This study examines Gen Z expectations from Human Resource (HR) practices with specific focus on workplace flexibility, mental health support, and digital integration, and analyzes their impact on perceived HR effectiveness.

The research adopts a descriptive and analytical design using primary data collected from 80 Gen Z employees aged 22–27 across IT, service, and startup sectors. A structured questionnaire based on a 5-point Likert scale was used for data collection. Statistical tools such as descriptive statistics, reliability analysis (Cronbach's Alpha), correlation, and multiple regression were applied to analyze the data.



The findings indicate that all three independent variables—workplace flexibility, mental health support, and digital integration—have a significant positive relationship with HR effectiveness ($p < .01$). Reliability scores for all constructs exceeded 0.70, confirming internal consistency. Among the variables, digital integration recorded the highest mean score (4.10), reflecting Gen Z's strong preference for technology-enabled HR systems. However, regression analysis revealed that workplace flexibility ($\beta = .38$) is the strongest predictor of HR effectiveness, followed by mental health support ($\beta = .34$) and digital integration ($\beta = .29$). The model explains 52% of the variance in HR effectiveness ($R^2 = .52$), indicating substantial explanatory power.

The study concludes that organizations must redesign HR strategies to align with Gen Z expectations by implementing flexible work arrangements, strengthening mental health initiatives, and adopting advanced digital HR systems. These practices are essential for enhancing employee engagement, satisfaction, and retention in the evolving workforce landscape.

Keywords: Generation Z, HR Effectiveness, Workplace Flexibility, Mental Health Support, Digital Integration.

1. INTRODUCTION

Generation Z (born 1997–2012) is entering the workforce with expectations shaped by digital transformation, globalization, and post-pandemic workplace shifts. Unlike Millennials, Gen Z prioritizes work-life balance, psychological safety, and digital efficiency in organizational systems.

Human Resource Management (HRM) has evolved from administrative functions to strategic people management. However, traditional HR models may not fully align with Gen Z's expectations.

This study examines three key factors influencing Gen Z's perception of HR effectiveness:

- Workplace Flexibility
- Mental Health Support
- Digital Integration

Generation Z, born between 1997 and 2012, is rapidly becoming a major force in the global workforce. As of early 2026, Gen Z constitutes approximately 30% of the global



workforce, and this proportion is expected to rise in the coming years as older generations retire and younger workers enter the job market.

This generation differs from previous cohorts in its attitudes toward work. Recent research shows that 77% of Gen Z workers prioritize work-life balance, and 72% have considered leaving jobs lacking flexible work policies. Additionally, 77% value mental health benefits over higher salaries, and 61% would seriously consider leaving their current job for one offering better mental health support.

These statistics highlight the importance of organizational practices that support psychological well-being as a core expectation rather than an optional benefit.

As digital natives, Gen Z also expects seamless technology integration in workplace systems. Surveys indicate that most Gen Z employees use multiple digital tools daily, with 95% expecting employers to provide digital upskilling opportunities and 78% preferring cloud-based collaboration tools. They are also significantly more likely to be frustrated by outdated technology and

are more apt to leave organizations that fail to innovate technologically.

In this context, Human Resource (HR) practices must evolve to meet these expectations. Workplace flexibility (e.g., hybrid schedules, flexible hours), strong mental health support (e.g., counseling, stress management programs), and advanced digital HR systems are increasingly seen by Gen Z as essential components of an attractive employer and effective HR model.

Understanding how these factors influence Gen Z's perception of HR effectiveness is crucial for organizations aiming to attract, engage, and retain young talent.

1.2 Statement of the Problem

Organizations face high turnover among Gen Z employees due to misalignment between expectations and HR policies. There is a need to empirically assess how flexibility, mental health initiatives, and digital HR tools impact perceived HR effectiveness.

1.3 Objectives of the Study

1. To analyze the impact of workplace flexibility on HR effectiveness.



2. To evaluate the influence of mental health support.
3. To assess the role of digital integration in HR systems.
4. To provide recommendations for modern HR practices.

1.4 Hypotheses

H1: Workplace flexibility significantly influences HR effectiveness.

H2: Mental health support significantly influences HR effectiveness.

H3: Digital integration significantly influences HR effectiveness.

2. REVIEW OF LITERATURE

Research indicates flexibility improves engagement (Allen et al., 2013).

Mental health support reduces burnout and improves retention (Deloitte, 2022).

Digital HR systems enhance employee experience (Vial, 2019).

Workplace flexibility has become an important factor influencing employee satisfaction. Allen, Tammy D. et al. (2013) found that flexible work arrangements reduce

work-family conflict and improve job satisfaction. Employees who have control over their work schedules tend to be more committed to their organization.

For Generation Z, flexibility such as hybrid work and adjustable hours is considered essential rather than optional.

Research by Allen, Tammy D. et al. (2013) found that flexible work practices significantly reduce work-family conflict and increase job satisfaction. Employees with greater control over their schedules reported higher organizational commitment and lower turnover intentions.

Similarly, Brough, Paula et al. (2020) examined the impact of flexible work arrangements on employee wellbeing and found a positive association between flexibility and psychological health. The study concluded that flexibility enhances employee engagement and productivity, especially in younger employees who prioritize work-life balance.

Further, a report by Deloitte (2022) highlighted that investments in mental health programs generate measurable returns in terms of improved engagement and retention.



Generation Z, known for openness about psychological wellbeing, expects employers to provide counseling services, mental health leave, and supportive HR policies.

Despite growing research, few studies combine all three predictors specifically for Gen Z employees.

2.1 Research Gap

Although existing studies have examined workplace flexibility, mental health support, and digital transformation independently, there is limited research that integrates all three variables within a single framework to assess their combined impact on HR effectiveness.

Much of the existing literature focuses on Millennials or mixed generational samples, with relatively fewer studies concentrating exclusively on Generation Z employees, particularly in the Indian context.

Additionally, prior research has largely emphasized outcomes such as job satisfaction, engagement, or turnover intention, rather than directly evaluating perceived HR effectiveness as a dependent variable.

Furthermore, most studies are based on Western economies, leaving a contextual gap in understanding how Gen Z employees in emerging economies, especially within IT, service, and startup sectors, perceive modern HR practices.

In the post-pandemic era, where hybrid work models and digital systems have become integral to organizational functioning, there remains a need for updated empirical research that captures the evolving expectations of Generation Z from HR.

This study attempts to bridge these gaps by providing an integrated and context-specific analysis.

3. RESEARCH METHODOLOGY

3.1 Research Design

Descriptive and analytical research design.

3.2 Sample

- Sample size: 80 Gen Z employees
- Age: 22–27 years
- Sectors:
 - IT: 45%
 - Services: 35%



- Startups: 20%

3.3 Data Collection Tool

Structured questionnaire (5-point Likert scale).

3.4 Statistical Tools Used

1. Descriptive statistics
2. Reliability test (Cronbach's Alpha)
3. Correlation
4. Multiple Regression

4. DATA ANALYSIS AND INTERPRETATION

4.1 Demographic Analysis

Gender Distribution

Gender	Frequency	Percentage
Male	42	52.50%
Female	38	47.50%
Total	80	100%

4.2 Sector Distribution

Sector	Percentage
IT	45%
Services	35%
Startups	20%
Total	100%

4.3 Reliability Test

Variable	Cronbach's Alpha
Workplace Flexibility	0.85
Mental Health Support	0.82
Digital Integration	0.88
HR Effectiveness	0.86

All values > .70 → Reliable.

4.4 Descriptive Statistics

Variable	Mean	Std. Dev
Flexibility	3.98	0.72
Mental Health	3.85	0.75
Digital Integration	4.1	0.69
HR Effectiveness	3.92	0.7

4.6 Regression Analysis

Predictor	Beta	Significance
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Flexibility	0.38	0
Mental Health	0.34	0.001
Digital Integration	0.29	0.014

$$R^2 = .52$$

$$F = 27.45$$

$$p = .000$$

Predictor	Beta	Significance
Flexibility	0.38	0
Mental Health	0.34	0.001
Digital Integration	0.29	0.014

5. FINDINGS

1. Balanced Gender Representation

The respondent profile shows a fairly balanced gender distribution (Male 52.5%, Female 47.5%), ensuring minimal gender bias in the study.

2. Sector Participation

The majority of respondents belong to the IT sector (45%), followed by Services (35%) and Startups (20%), indicating stronger representation from digitally driven industries.

3. High Reliability of Measures

All constructs (Workplace Flexibility, Mental Health Support, Digital Integration, HR Effectiveness) recorded Cronbach's Alpha > 0.70, confirming internal consistency and reliability.

4. Digital Integration Rated Highest

Among the variables, Digital Integration (Mean = 4.10) achieved the highest mean score, suggesting that respondents highly value technology-enabled HR practices.

5. Positive Relationships Identified

Correlation analysis indicates that Workplace Flexibility, Mental Health Support, and Digital Integration all have a significant positive relationship with HR Effectiveness ($p < .01$).

6. Flexibility as the Strongest Predictor

Regression analysis shows Workplace Flexibility ($\beta = .38$) as the strongest predictor of HR Effectiveness, followed by Mental



Health Support ($\beta = .34$) and Digital Integration ($\beta = .29$).

7. Moderate Model Strength

The model explains 52% of the variance ($R^2 = .52$) in HR Effectiveness, indicating that these three factors substantially influence perceptions of HR performance.

6. SUGGESTIONS

1. Promote Workplace Flexibility

- a. Implement hybrid or flexible work arrangements.
- b. Allow adaptable schedules and remote work options.
- c. Focus on outcome-based performance evaluation.

2. Strengthen Mental Health Support

- a. Provide mental health leave policies.
- b. Offer confidential counseling and wellness programs.
- c. Conduct stress management and resilience workshops.

3. Enhance Digital Integration

- a. Adopt AI-driven HR tools (recruitment, onboarding, performance tracking).

- b. Implement mobile-friendly HR applications.

- c. Digitize employee engagement and feedback systems.

4. Reframe HR Policies for Gen Z

- a. Encourage continuous learning and career development.
- b. Foster inclusive, transparent communication.
- c. Support work-life balance initiatives.

7. CONCLUSION

The study highlights that Workplace Flexibility, Mental Health Support, and Digital Integration play a critical role in shaping HR Effectiveness.

Digital integration emerged as the most valued factor in terms of mean score, reflecting the growing importance of technology in modern workplaces. However, regression findings reveal that Workplace Flexibility is the strongest predictor of HR Effectiveness, emphasizing employees' preference for adaptable work environments.



With 52% of HR effectiveness explained by these variables, organizations must strategically redesign HR practices.

Employers who integrate flexible work models, invest in employee wellbeing, and adopt digital HR solutions will be better positioned to attract, engage, and retain emerging workforce segments, particularly Generation Z.

Overall, the research confirms that evolving employee expectations demand a transformation of traditional HR systems into more flexible, supportive, and technology-enabled frameworks.

1, FUNDING STATEMENTS:

This research received no specific grant from any funding agency in the public, commercial, or not-for-profit sectors

2. Conflict of Interest Statement:

The authors declare no conflict of interest with respect to the research, authorship, or publication of this article.

3. Ethics Approval:

Ethics approval was not required for this study as it did not involve human/animal subjects.

4. Informed Consent:

Yes, informed written consent was obtained from all participants.

5. Data Availability Statement:

The data that support the findings of this study are available upon reasonable request from the corresponding author.

6. Author Contributions (Credit Statement):

☐ Author 1: Conceptualisation, Methodology, Writing – Original Draft

☐ Author 2: Data Curation, Formal Analysis, Writing – Review; Editing

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